

Then, of course, there is the most important difference of all, the one the calamity howlers conveniently forgot. May 28, 1962, was not a crash. It was an adjustment—albeit a somewhat violent one.

As I've said, some stocks were selling for more than 100

times their earnings during the height of the 1960-1962

boom. Now, it would be rather difficult for a company to expand enough to justify stock prices that were 100 times the company's per-share earnings. Even assuming that every penny of the company's earnings were paid out in dividends to common-stockholders, the stockholders would still be receiving only a one-percent return on their investment. But if all earnings were distributed in dividends, there would be no money left for the company to spend on expansion. That, of course, would effectively eliminate any possibility of capital growth. Yet, even with these glaringly self-evident truths staring them in the face, people bought overpriced stocks.

Such were the difficult situations that developed—and that caused the stock market to fall. Experienced investors should have been able to read the warning signals loud and clear long before the May 28 break took place.

As I stated previously, the Dow-Jones industrial average shot to its all-time high of 734.91 on December 13, 1961.

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The downward movement began immediately afterward and continued through December 1961 and January 1962.

There was a brief recovery that continued until March, when the Dow-Jones average edged up over 720, but the graph line shows the recovery was an uncertain, faltering one. The downward trend was resumed in March—and the graph line from then on makes a steep descent that is broken by only a few spasmodic upward jogs.